Q. Do you think India is on the brink of stagflation?

● ADITI NAYAR
Inflation is set to be uncomfortably high in FY23—at 5.6 per cent on average, as per our forecast. We have raised our projection substantially after the Russia-Ukraine conflict which has inflamed commodity prices. Some items will see a relatively faster transmission to the CPI (consumer price index) inflation, such as fuels and edible oils. For other items, an uncertain demand outlook may make transmission less rapid. The extension of free food grains under the PMGKAY will soften the blow somewhat by protecting household food budgets for six months.

On the growth side, we had cut our FY23 projection to 7.2 per cent last month. We believe that higher prices of fuels and items like edible oils are likely to compress disposable incomes in the low- to middle-income segments, constraining the demand revival. In the mid- to upper-income segments, normalisation of behaviours after the third wave is set to result in a pivot of consumption towards the contact-intensive services that were avoided during the pandemic. Overall, inflation is set to be uncomfortably high, and growth lower than what we were hoping for. However, it is hard to categorise a 7.2 per cent growth as a stagflationary situation.

● JAHANGIR AZIZ
The term stagflation is overused, and mostly incorrectly. It refers to a long period of below potential growth and high inflation. India, and the world, is far from that situation. Even the more cautious estimates of growth in FY23, such as ours, have growth over 7 per cent and inflation for the year below 6 per cent—hardly a sign of stagflation. Nonetheless, we should worry because despite the strong growth in FY22 and FY23, the GDP level by the end of FY23 will be significantly below the pre-pandemic path, indicating that there has been permanent loss to incomes. In addition, both employment and labour market participation will still be below pre-pandemic levels. So, clearly, there has been permanent scarring from the pandemic that India's policy response has not managed to mitigate.

> **"Inflation is set to be uncomfortably high and growth lower than we hoped...but it is hard to categorise a 7.2% growth as a stagflationary situation"**
> –ADITI NAYAR

● NEELKANTH MISHRA
We don't think so. The underlying economic momentum is very strong and enough to counteract the large macroeconomic adjustments ahead of us. The job market has improved meaningfully over the past few months as schools and offices have restarted, tourism has opened further and governments are able to execute projects that were stuck due to lockdowns. The dwelling construction cycle is turning after nearly a decade-long lull, Indian firms are gaining global share in manufacturing exports, and services exports are quite robust—India, for instance, remains a major provider of software developers. The rise in energy prices is a headwind though, putting upward pressure on inflation, and forcing a downward reset of the rupee to bridge the balance of payments deficit. However, this only needs a reset, and sustained pressure on prices is unlikely. While we believe FY23 GDP growth will be meaningfully higher than the downward-revised 7.2 per cent forecast of the MPC [monetary policy committee], even the latter forecasts 4 per cent growth in the second half.

● PRONAB SEN
Yes. Due to periodic lockdowns, there has been a serious reduction in the productive capacity of the Indian economy, especially in the MSME sector. As a consequence, the economy has very little surplus capacity despite the numbers appearing on corporate balance sheets.

● AJIT RANADE
It is true that economic growth is slowing down, and inflation is inching up, but I don't think India is on the brink of stagflation. There are recession-like conditions in some sectors, but in some other sectors, there is a boom, like in anything related to digital, healthcare, pharma, metals; even travel and tourism is picking up. But if growth continues to slow down, then even a positive growth rate of 3-4 per cent will feel like a recession. This will put pressure on both the Centre and state governments to pursue anti-slowdown measures, which will call for fiscal spending. As such, the government has already extended the free food grain scheme under the National Food Security Act to all till the end of September 2022.